

lower uses a log scale. I have included both, just to demonstrate what a different impression the two scales can give. In both cases, the black line shows the performance of our little trading business, net of all fees. In these charts, and in particular in the log version, we see that the long-term performance of the strategy did beat the index, and that generated a large outperformance during the 2008 bear market. None of that should be news to us.

The third pane gives us a little more insight. This shows the simple difference between our trend-following trading results and the index. This graph may give us some mixed signals. It shows that much of the outperformance was created from 2008 to 2012, and that after this, we have kept an even keel with the index over time. That could be interpreted in different ways. You could say that it shows that trend following has ceased to outperform the markets, or you could say that trend following managed to keep pace with the markets during the most powerful bull market in our generation. Both are true.

Perhaps the most interesting story is told by the final and fourth chart pane in Figure 6.122. That shows you a six-month rolling correlation between our trend strategy and the stock market index. All too often, traders underestimate the importance of this factor. Your strategy, and thereby the product on which your trading business is entirely dependent, will be of much higher value to your customers if it is uncorrelated to the stock markets.

Forget about the amateur mind-set of just looking at returns. Unless you cater exclusively to small, amateur retail investors, this game is not about the highest possible absolute return. That is not how you raise capital and that is not how you build a trading business. Any professional understands that with high returns comes high risk and that simply going for the highest return is a sure-fire way of setting yourself up for major losses. Even more importantly, a professional understands the need for diversification and achieving a smoother long-term return on their overall portfolios. This is where correlation comes in.

Put yourself in the shoes of a regular asset manager, one who primarily buys stocks, a bit of bonds, and the occasional alternative product. This is probably one of your key target groups to pitch your fund to. For such a manager, most of their investments move up and down at the same time. When it comes to alternative products, they are looking for something which behaves differently, without being overly risky. Even if you produce